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Case Number: 20SMCV01985 Hearing Date: September 2, 2026 Dept: 205

Superior Court of California

County of Los Angeles – West District

Beverly Hills Courthouse / Department 205

WCO SPECTRUM, LLC,

Plaintiff,

v.

SIGNAL FLARE CAPITAL INC., et al.,

Defendants.

Case No.: 20SMCV01985

Hearing Date: September 2, 2026

[TENTATIVE] order RE:

PLAINTIFF AND CROSS-DEFENDANTS'

MOTIONS FOR ATTORNEYS' FEES,

EXPERT FEES AND COSTS and

defendant and cross-

complainants' motion to tax

costs

BACKGROUND

This action arises from a dispute between alleged partners. Plaintiff WCO Spectrum LLC filed this action against Defendant Lee Stein, alleging that Mr. Stein misappropriated WCO's confidential business information, trade secrets, and proprietary strategies. WCO claimed that Mr. Stein obtained confidential information in his role as WCO's potential attorney to create a competing business, Defendant Signal Flare Capital Inc. Mr. Stein countersued, alleging that he and Cross-Defendant Gary Winnick had entered into an oral partnership agreement to "pursue business opportunities and projects together" and to share profits and losses 50/50.

On August 3, 2021, the Winnick Parties served Request for Admission No. 1, Set One, asking Mr. Stein to admit that he "never entered into the PARTNERSHIP with WINNICK" — a term defined by reference to the partnership Stein alleged was formed on April 25, 2019. [Ex. 3 to Sugden Decl.]. Mr. Stein denied the request on September 14, 2021. [Id.]

On October 15, 2024, the Winnick Parties served a written offer to compromise Stein's Cross-Complaint under Code of Civil Procedure section 998. That Offer read, in pertinent part, that the Winnick Parties "offer to have a judgment entered in Cross-Defendants' favor, and against Cross-Complainant Lee Stein ("Cross-Complainant") as to Cross-Complainant's Cross-Complaint in this action, for the sum of two-hundred fifty thousand dollars (\$250,000.00)" [Ex. 18 to Sugden Decl.]. Stein did not accept.

On November 20, 2025, the jury returned a unanimous verdict. The Special Verdict Form asked: "Question 1. In April 2019, did Lee Stein and Gary Winnick orally form a partnership to split profits 50/50 on any opportunity they explored?" The jury unanimously answered: "No". (Ex. 8 to Sugden Decl.) The jury's finding that no partnership existed between Mr. Stein and Mr. Winnick established the very matter that Mr. Stein had refused to admit in response to RFA No. 1: that Mr. Stein "never entered into the PARTNERSHIP with WINNICK."

On April 21, 2026, this Court entered judgment confirming the jury's verdict, ordering that Lee Stein "shall take nothing from WCO Spectrum, LLC and Gary Winnick (Deceased) by way of his crossclaims." The Court further noted that it "reserves the ability to amend this judgment to reflect the award of additional relief as may be sought by the Parties." (Ex. 9 to Sugden Decl.)

This hearing is on the Winnick Parties' motions for attorney's fees, expert fees and costs. The Winnick Parties seek \$1,169,994.80 in attorneys' fees and \$304,657.39 in discretionary costs and expert fees. They argue that under Code Civ. Proc. section 2033.420, they are entitled to fees and costs because Mr. Stein failed to admit a matter which they later proved to be true, and Mr. Stein had no reasonable grounds for denying the request for admission. They also argue that they are entitled to reasonable costs as the prevailing party under section 1032(b) because the Court entered judgment in their favor and against Mr. Stein on all causes of action in his cross-complaint. Additionally, the Winnick Parties argue that because they made an offer to compromise in the amount of \$250,000 and Mr. Stein failed to obtain a more favorable judgment — indeed he obtained nothing—the Winnick Parties are entitled to recover their post-offer expert witness fees and costs pursuant to section 998(d).

This hearing is also on Mr. Stein's motion to tax costs. Mr. Stein seeks to tax costs enumerated in the Winnick Parties' memorandum of costs (totaling \$170,827.23). Mr. Stein argues that the Winnick Parties are not entitled to costs under section 1032 because they are not the prevailing party under California law. In opposition, the Winnick Parties argue that even if they are not the prevailing party, they are entitled to costs under sections 998 and 2033.420.

DISCUSSION

Section 2033.420

The Winnick Parties seek attorneys' fees and costs pursuant to Code of Civil Procedure section 2033.420, subdivision (a) which provides that a party may seek the reasonable expenses including attorney fees of proving the truth of the matter in an RFA that was denied by a responding party.

An award of such expenses is mandatory unless the court finds one of the following: (1) an objection to the request was sustained or a response to it was waived under Section 2033.290; (2) the admission sought was of no substantial importance; (3) the party failing to make the admission had reasonable ground to believe that that party would prevail on the matter; and (4) there was other good reason for the failure to admit. (Code Civ. Proc., § 2033.420, subd. (b).) The burden for justifying the denial of the RFAs pursuant to any one of these four exceptions falls on the responding party. (*Samsky v. State Farm Mutual Automobile Ins. Co.* (2019) 37 Cal.App.5th 517, 523-524.)

As a threshold matter, the Court must decide whether the RFA covers the exact same issue as the jury finding. The RFA asks: "Admit that YOU never entered into the PARTNERSHIP with WINNICK." Meanwhile, the jury answered "no" to the following question: "In April 2019, did Lee Stein and Gary Winnick orally form a partnership to split profits 50/50 on any opportunity they explored?"

Mr. Stein argues that the RFA sought a broader admission than what the jury ultimately found. The RFA referred to a "PARTNERSHIP", whereas the jury found there was no partnership to split profits 50/50. In reply, the Winnick Parties argue that the RFA "asked [Mr. Stein] to admit he never entered the very partnership he had pleaded, formed by handshake in a limousine on April 25, 2019, under which he and Winnick would "jointly own and control the partnership and ... share profits and losses."

Surprisingly, the Winnick Parties never submit a copy of the RFA which would shed light on how "PARTNERSHIP" was defined in the RFA and whether in fact there is no daylight between the RFA and the jury finding. The Court only has the response to the RFA which does not indicate how "PARTNERSHIP" is defined in the RFA.

Under section 2033.420, subdivision (a), the party seeking an award of reasonable expenses has the initial burden of establishing "that it actually proved the matter" covered by the request for admission. (1 Hogan & Weber, Cal. Civil Discovery (2d ed. 2018 Supp.)) Accordingly, the Court concludes that the Winnick Parties have not met their burden.

Even assuming the Court accepts the Winnick Parties' representation that they defined "PARTNERSHIP" based on the allegations in the Cross-Complaint, the Cross-Complaint referred to many other things that were purportedly agreed to as part of the alleged partnership agreement, including that the parties would pursue business opportunities together and jointly control the partnership. Accordingly, even accepting the Winnick Parties' position, it would still not establish that the jury finding (of no partnership to split profits equally) and the fact sought to be admitted in the RFA are one and the same. Therefore, the Court denies the section 2033.420 motion for attorneys' fees.

Section 1032(b)

The Winnick Parties seek costs pursuant to section 1032(b). Section 1032(b) allows a prevailing party to recover allowable costs as a matter of right. In opposition, Mr. Stein argues that he is the prevailing party because he is the original defendant and the Winnick Parties got nothing. The Court agrees with Mr. Stein.

In general, the "prevailing party" is entitled as a matter of right to recover costs for suit in any action or proceeding. (Code Civ. Proc., § 1032(b); *Santisas v. Goodin* (1998) 17 Cal.4th 599, 606; *Scott Co. Of Calif, v. Blount, Inc.* (1999) 20 Cal.4th 1103, 1108.) "Prevailing party" includes the party with a net monetary recovery, a defendant in whose favor a dismissal is entered,

a defendant where neither plaintiff nor defendant obtains any relief, and a defendant as against those plaintiffs who do not recover any relief against that defendant. (Code Civ. Proc., § 1032 (a)(4).)

In a situation where the defendant has filed a cross-complaint on which he has not prevailed, the California Court of Appeal has held that the defendant is still the prevailing party if the plaintiff obtained no relief. (*McLarand, Vasquez & Partners, Inc.* (1991) 231 Cal.App.3d 1450, 1454). There, the Court held that section 1032 “contemplates that when neither the plaintiff nor the defendant who has filed a cross-complaint prevails, the defendant is the prevailing party entitled to costs.” (*Id.*)

The Winnick Parties unsuccessfully attempt to distinguish *McLarand*. The Winnick Parties argue that *McLarand* did not involve a section 998 offer or address section 2033.420. But so what? *McLarand* addresses the definition of prevailing party where a movant is seeking section 1032 costs, which is precisely what the Winnick Parties are doing here. That there may be alternative grounds for their request for costs doesn’t mean that they can’t recover under section 1032.

The Winnick Parties also argue that the economic realities differ because WCO’s own claims sought roughly \$8,000 while Mr. Stein’s cross-claims sought far more (\$7.5 million to \$20 million). [Opp. at 12]. But the holding in *McLarand* does not turn on the relative dollar value of the competing claims. Instead, it was based on a reading of the plain language in section 1032(a)(4), which does not allow the Court to engage in a relative claim value analysis to determine the identity of the prevailing party. Further, WCO original Complaint sought no less than \$100,000,000 in damages, which is far greater than the upper end of Mr. Stein’s claimed damages.

The Winnick Parties further argue that its own claims were resolved by nonsuit mid-trial rather than by a contested verdict. [Opp. at 12-13]. *McLarand* rejected that same distinction. A nonsuit is a decision on the merits: the party against whom it is entered failed to make out a case the jury could decide. Nothing in section 1032(a)(4) or *McLarand* distinguishes a claim lost on nonsuit from a claim lost after a verdict. Both leave the party who brought the claim with no relief.

The Winnick Parties also argue that “[c]ost-of-proof expenses do not turn on who prevailed. They turn on whether a party denied a matter without reasonable grounds and thereby put an opponent to the expense of proving it.” But the Winnick Parties sought costs pursuant to section 1032(b), as well as section 2033.420. Their reply suggests that they have now reversed course and no longer seek costs pursuant to 1032(b). Regardless, as the Winnick Parties are not the prevailing party, they are not entitled to costs under section 1032.

Section 998(d)

The Winnick Parties seek post-offer costs pursuant to section 998(d). Under section 998, a plaintiff (or in this case a cross-plaintiff) who fails to accept an offer and then fails to obtain a more favorable result at trial must pay the other party’s costs from the time of the offer. (Code Civ. Proc., § 998, subd. (c)(1).) In opposition, Mr. Stein argues that he did obtain a more favorable result because the 998 offer required him to pay the Winnick Parties \$250,000 while the Winnick Parties actually took nothing. The Court agrees with Mr. Stein.

The 998 Offer states that the Winnick Parties “offer to have a judgment entered in Cross Defendants’ favor, and against Cross-Complainant Lee Stein ... as to Cross-Complainant’s Cross Complaint in this action, for the sum of two-hundred fifty thousand dollars (\$250,000.00).” [Ex. 18 to Sugden Decl.]. The Offer does not state that the Winnick Parties will pay Mr. Stein \$250,000. It states the opposite: that judgment may be entered “in Cross-Defendants’ favor, and against Cross-Complainant Lee Stein... for the sum of \$250,000.” On its face, that language describes a \$250,000 judgment against Stein — the reverse of how the Winnick Parties now characterize the Offer.

Had Stein accepted, he would have had to pay \$250,000 to the Winnick Parties. He did not accept, and the Judgment entered on April 21, 2026 requires him to pay nothing. [Ex. 8 to Sugden Decl.] A judgment requiring Stein to pay nothing is more favorable than a judgment requiring him to pay \$250,000. Mr. Stein therefore obtained a more favorable judgment than the Offer, and he is not obligated to pay the Winnick Parties’ post-offer costs.

The Winnick Parties argue that Mr. Stein is misreading the 998 offer, and that read as a whole the Offer makes clear that payment was to be made by the Winnick Parties to Mr. Stein. The Winnick Parties cite to paragraphs (A)-(C) of the Offer. But nothing in those sections suggests that the \$250,000 was to be paid to Mr. Stein. There is not even any ambiguity in the Offer as to who is obligated to make the payment. In any event, even if there was some uncertainty, we are bound to interpret the ambiguity against the Winnick Parties who drafted the 998 offer. (Ignacio v. Caracciolo, (2016) 2 Cal.App.5th 81, 86.)

Motion to Tax Costs

Mr. Stein moves to tax costs in the Winnick Parties' memorandum of costs. The issues raised in the motion to tax costs are virtually identical to those addressed above.

The Winnick Parties filed a form memorandum of costs. That form refers to sections 1032, 1033.5 and Rule of Court 3.1700(a). All of those sections relate to an award of costs to a prevailing party. Section 1032 provides that a prevailing party is entitled to seek costs. Section 1033.5 lists the allowable costs. And Rule 3.1700 governs how a prevailing party claims allowable litigation costs and how the opposing party may challenge them. As set forth above, however, the Winnick Parties are not the prevailing party under McLarand and therefore, they cannot recover costs under the prevailing party costs statutes.

In opposition to the motion to tax costs, the Winnick Parties point to alternative grounds to seek costs (under sections 998 and 2033.420). As to section 998, it is true that such costs may be sought in a cost bill, and there is no rule requiring a noticed motion. (Code Civ. Proc., §998, subd. (c)(1), (e); Thompson v. Miller, (2003) 112 Cal.App.4th 327; Santantonio v. Westinghouse Broadcasting Co., (1994) 25 Cal.App.4th 102, 109–110.) However, as stated above, the Court concludes that Mr. Stein obtained a more favorable result than the 998 offer because the offer required him to pay \$250,000 and he ended up having to pay nothing.

As to section 2033.420, it contemplates that the requesting party may "move" the Court for an order requiring the other party to pay costs associated with having to prove a matter denied in an RFA. The statute, therefore, contemplates a motion, not a memorandum of costs. In any event, it is clear from the memorandum of costs that it is not limited to 2033.420 costs. It seeks costs from the inception of the action rather than from the point of Mr. Stein's denial of the partnership RFA. In any event, as discussed above, the Court concludes that Mr. Stein is not entitled to costs under section 2033.420.

CONCLUSION AND ORDER

For the foregoing reasons, the Court DENIES the Winnick Parties' motions for attorneys' fees, expert fees, and costs and GRANTS Stein's motion to tax costs.

DATED: September 2, 2026 _____

Edward B. Moreton, Jr.

Judge of the Superior Court